

Atchison Active Australian Shares SMA

28 March 2024

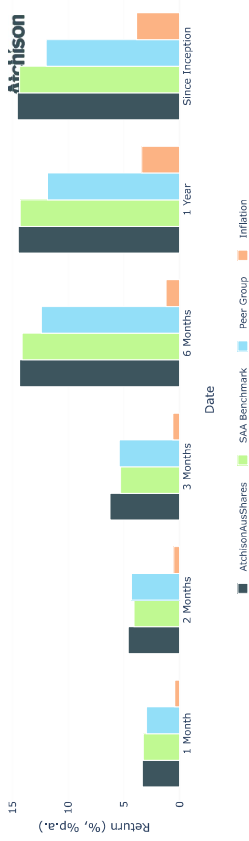
PORTFOLIO PERFORMANCE

The Atchison Active Australian Shares SMA delivered 3.3% for the month, and 6.2% over the quarter.

Over the last 12 months, the Atchison Active Australian Shares SMA delivered 14.5%, significantly beating Inflation by 11.1%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active Australian Shares SMA has materially outperformed over the last 12 months.

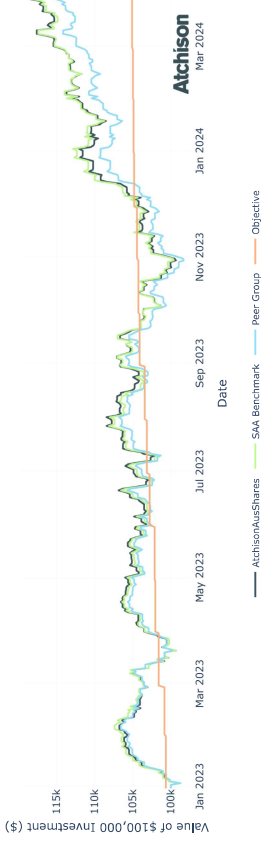
Since inception of the strategy, the Atchison Active Australian Shares SMA has delivered 14.6%, significantly beating Inflation by 10.7%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active Australian Shares SMA has significantly outperformed since inception of the strategy.

All performance metrics listed above are net of appointed investment management fees but before tax. Returns vs Benchmarks



	1 Month	2 Months	3 Months	6 Months	1 Year	Since Inception
AtchisonAusShares	3.33	4.61	6.24	14.35	14.46	14.56
SAA Benchmark	3.26	4.07	5.30	14.11	14.29	14.36
Peer Group	2.97	4.30	5.41	12.40	11.84	11.96
Inflation	0.42	0.52	0.60	1.21	3.40	3.85

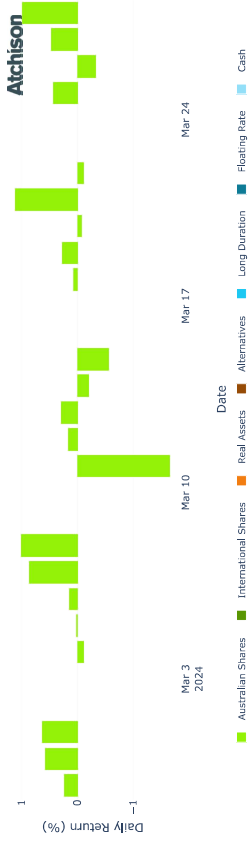
Performance of \$100,000 Investment



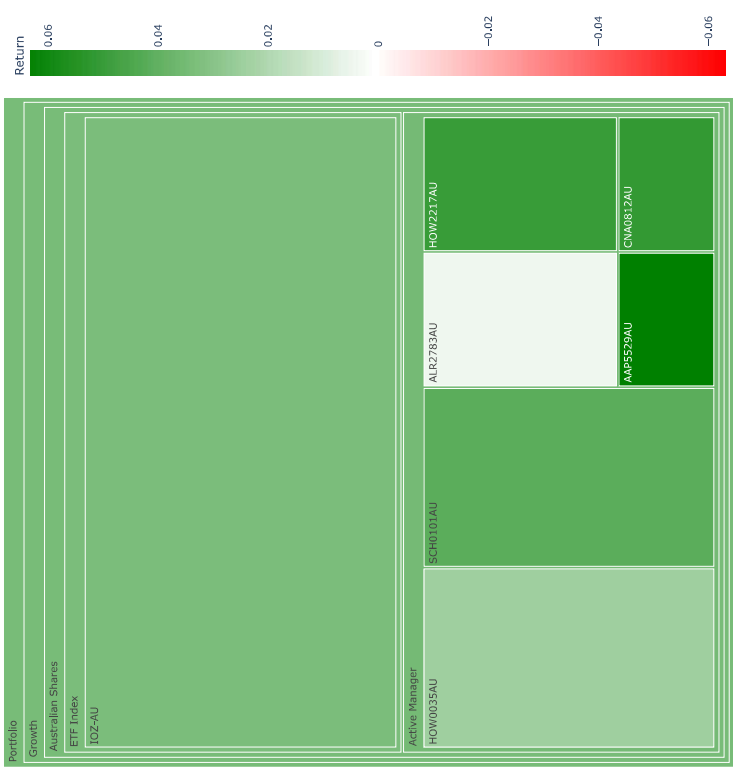
KEY CONTRIBUTORS, DETRACTORS & ATTRIBUTION

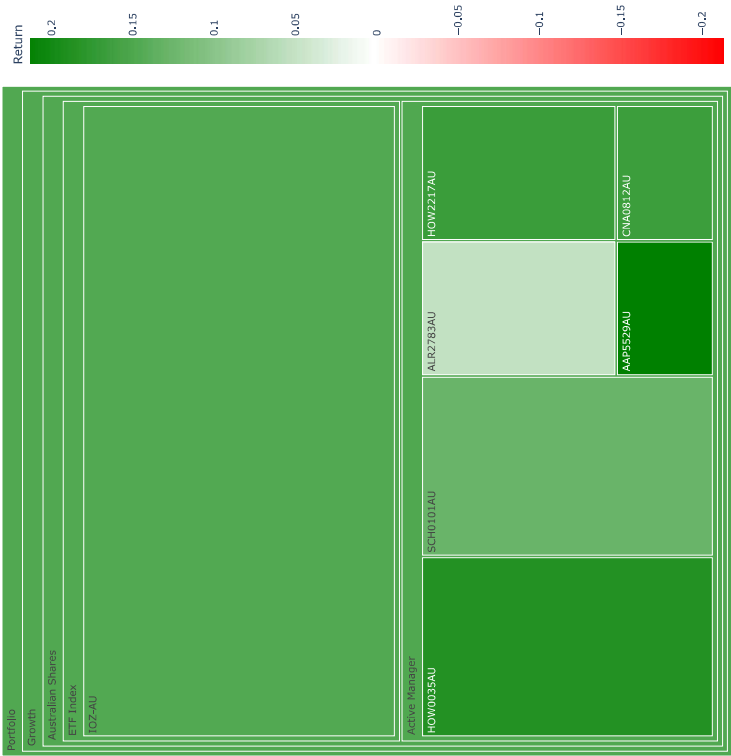
- On a weighted basis, the largest contributor to the portfolio outcome has been iShares Core S&P/ASX 200 ETF
- The manager that contributed the least to portfolio return was Australian Eagle Trust
- The holding with the highest absolute return has been Ausbl Australian SmallCap Fund
- Whilst the holding with the lowest absolute return has been Australian Eagle Trust

Daily Return Analysis

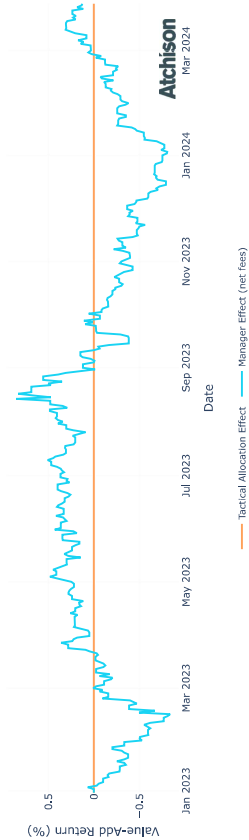


Portfolio Performance Heatmap - Latest Month

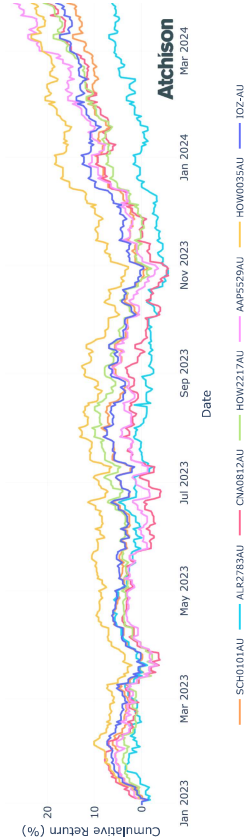




Attribution Analysis of Asset Allocation vs Manager/Security Selection

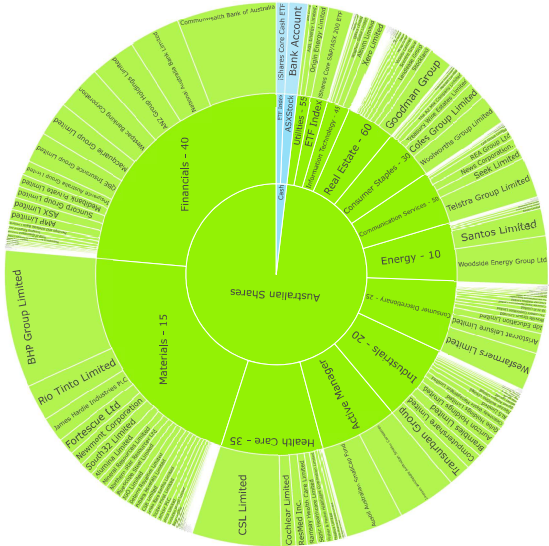


Individual Returns of Underlying Manager/Security Holdings



PORTFOLIO CONSTRUCTION

Portfolio Construction - Look Through Exposures



Atchison

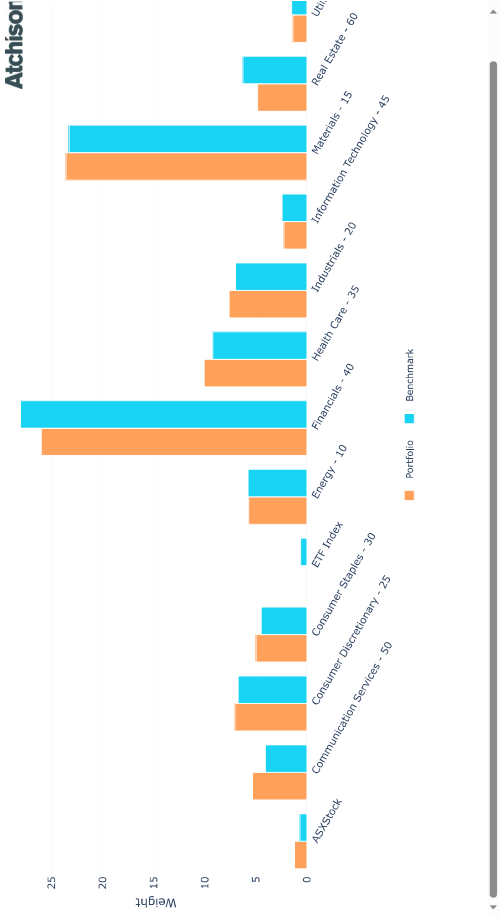
Portfolio Construction - Manager Level



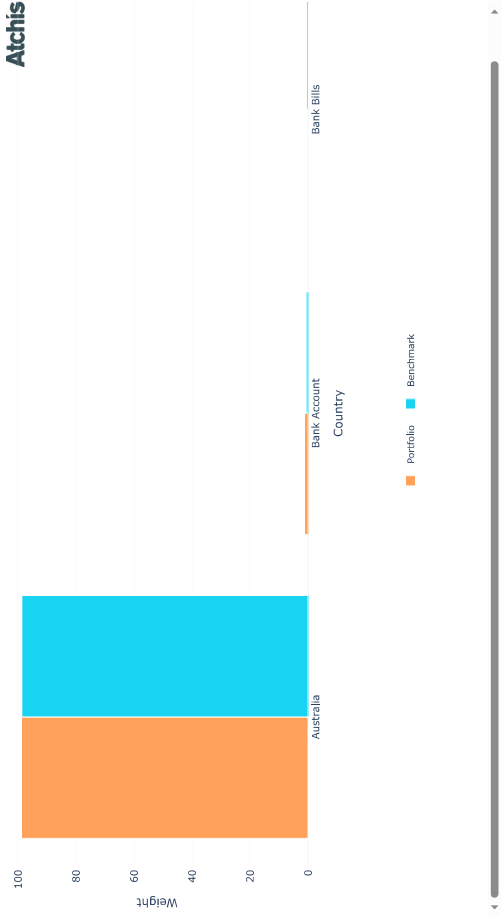
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PORTFOLIO LOOK THROUGH ANALYSIS

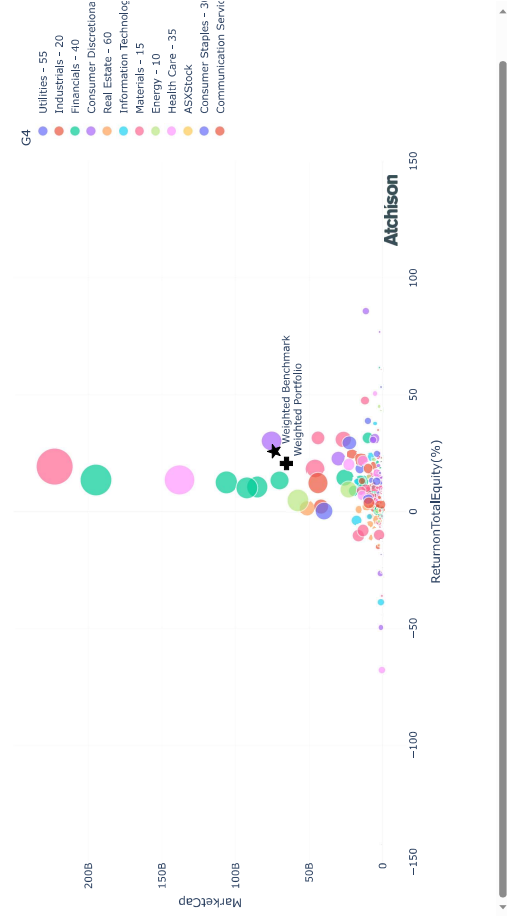
Portfolio vs Benchmark Weights by Industry Segment (GICS level 1)



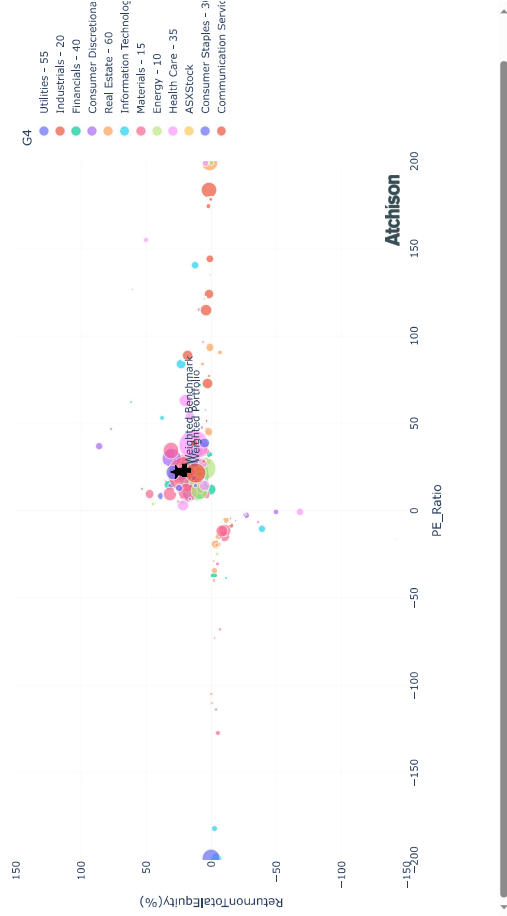
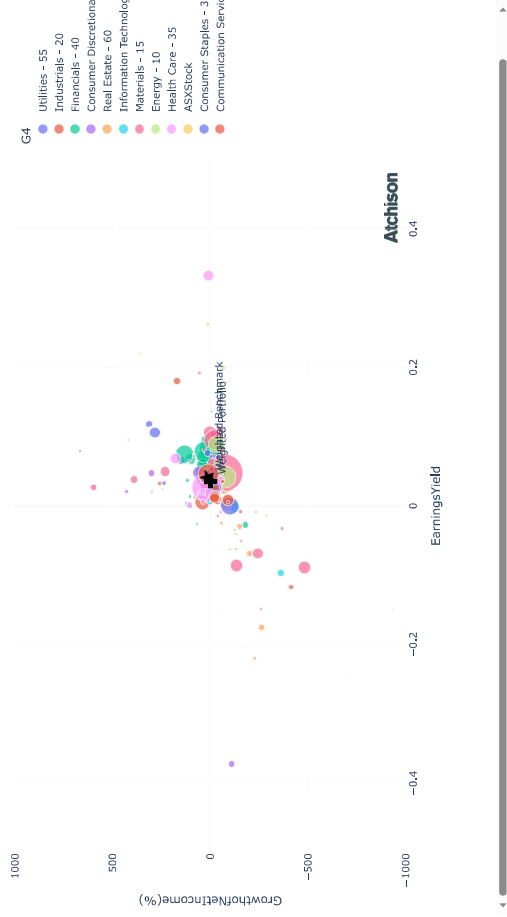
Portfolio vs Benchmark Weights by Country



Look Through Exposures - Company Size vs ROE (Dot size = Portfolio Weight; Dot Colour = Industry)



Look Through Exposures - ROE vs Price/Earnings Ratio (Dot size = Portfolio Weight; Dot Colour = Industry)



Look Through Exposures - Earnings Growth vs Earnings Yield (Dot size = Portfolio Weight; Dot Colour = Industry)



RISK ANALYSIS

Drawdown Periods & Recovery



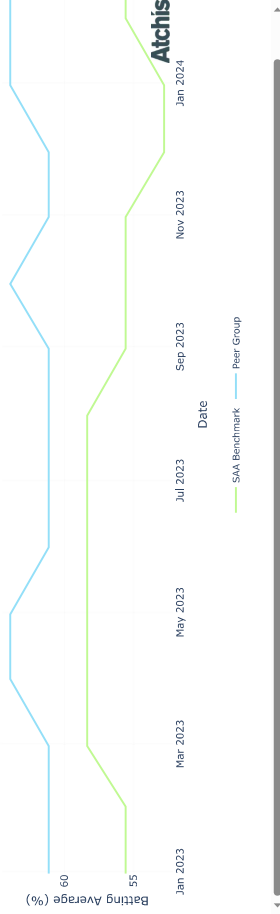
Rolling 3yr Calmar Ratio - Return over Drawdown Risk



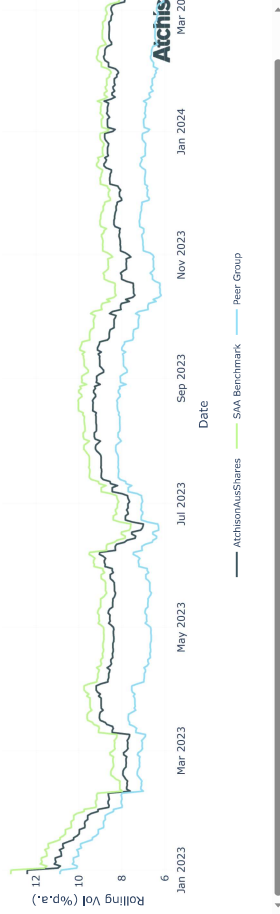
Rolling 3yr Tracking Error - Level of Relative Risk Being Taken



Rolling 3yr Batting Average - % of Months Outperforming Benchmark Return



90 Day Volatility



Risk Metrics

Risk Measure	AtchisonAusShares	SAA Benchmark	Peer Group
30 Day Volatility	8.27	8.71	5.98
90 Day Volatility	8.19	8.50	6.06
12 Month Volatility	11.25	11.35	10.52
3 Year Volatility	13.12	13.53	12.22
3 Year Max Drawdown	-12.59	-12.94	-12.32
3 Year Sharpe Ratio	0.77	0.68	0.64
3 Year Calmar Ratio	0.8	0.71	0.64
3 Year Information Ratio		0.43	-0.05
3 Year Tracking Error		1.05	1.29
3 Year Batting Average		55.56	63.89

UNDERLYING SECTOR SLEEVE ANALYSIS

Please find below links to detail of underlying asset class sleeves:

- [Atchison Australian Shares Sleeve](#)
- [Atchison International Shares Sleeve](#)
- [Atchison Real Assets Sleeve](#)
- [Atchison Alternatives Sleeve](#)
- [Atchison Long Duration Sleeve](#)
- [Atchison Floating Rate Sleeve](#)

MARKET OVERVIEW

- Another record high for share markets at March end, on the back of expectations of US interest rate cuts later this year along with hopes of continued resilient economic growth.
- In local currency terms the US S&P 500 gained +3.1%, the ASX 200 rallied +3.3% whilst the MSCI World ex-Australia Net Total Return Index rose +3.1% in AUD terms
- Reserve Bank of Australia (RBA) left interest rates unchanged at 4.35% as headline inflation data remained broadly stable at 3.4% y-on-y, with the services component sticky.
- RBA Governor Michele Bullock indicated a flexible approach to curb inflation amid economic growth slowdown, emphasizing that the interest rate path remains uncertain and data dependent. Headline inflation stood at 4.1% in Q4 2023, down from 5.4% in Q3 and a peak of 7.8% in Q4 2022.
- Australian Consumer Inflation Expectations dipped to 4.3% in March 2024: from 4.5% in February, the lowest level since October 2021. This easing is attributed to a moderation in goods prices following rate hikes totalling 425bps over the past two years by the central bank.
- Australian jobs data came in better than expected with the unemployment rate falling to 3.7%, and job vacancies dropped 6.1% in the three months to February. National houses prices rose +0.6% m-on-m in March to be up +9.7% y-on-y.
- Several Central Banks met during March. The US Federal Reserve maintained the Fed Funds rate at 5.25%-5.5% for a fifth straight meeting. The market is expecting the first rate cut in July but seems to be pushing it out due to robust economic data and sticky services inflation.
- European Central Bank indicated it could cut interest rates as soon as June, given the fall in inflation and continued subdued economic growth.
- China's economy shows signs of awakening with manufacturing data showing signs of improvement for the first time in five months. But property investment and consumer confidence remain restrained.
- Bank of Japan increased short-term interest rates to 0-0.1%, the first time since 2007, while the Swiss National Bank unexpectedly cut rates 0.25%.
- Risks to the outlook for the global economy have become more balanced as inflation has eased, but global financial stability risks remain elevated.
- Many market participants have priced in an easing in monetary policy, likely later this year, with inflation returning to central banks' targets. This leaves markets vulnerable to an adverse shock, including from inflation proving more persistent than expected or a severe geopolitical event.

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HOW TO INVEST?

Our SMA strategies are currently available on the following platforms:



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